

# Opening an IRA and investing in the S&P 500

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Citing <https://www.investopedia.com/terms/i/ira.asp>

Starting an Individual Retirement Account (IRA) is one of the best decisions a young person can make. Through special tax exemptions and the power of compounding interest, small investments now can build a more comfortable retirement. In this document, we will explain what an IRA is, how to open an IRA, demonstrate the power of exponential growth, and show you how to invest in the perhaps greatest, most accessible, and stable investment vehicle of all time: the S&P 500.

## What is an IRA?

An IRA is a tax-advantaged account that helps individuals save for retirement. There are two main types of IRA's:

1. Traditional IRA - Contributions to a traditional IRA may be written off your taxes for that year. So, if you contribute \$1,000, you may reduce your tax burden by \$1000. In a traditional IRA, your money grows tax-deferred. When you withdraw it after retiring, it is taxed at your ordinary income tax rate for that year.
2. Roth IRA - Contributions to a Roth IRA are made after taxes, meaning you cannot write them off for the year you contribute. After that, however, your Roth IRA grows tax-free, meaning you pay NO Taxes when withdrawing from a Roth IRA after retirement (after age 59½).

**Which to choose?** For young people, I recommend a **Roth IRA**. Most people's tax rate is lower when they are young vs when they are older, simply because they do not have/make as much money. Pay a lower tax rate now, pay no taxes when older and retiring. Let compounding interest do its work.

A few notes, some from <https://www.investopedia.com/terms/i/ira.asp>

- Money held in an IRA usually can't be withdrawn before age 59½ without incurring a tax penalty of 10% of the amount withdrawn.
  - The money is essentially locked up, only invest what you can go without!
  - Plus you may have to pay capital gains taxes if withdrawing early.
  - However, there are exceptions to the penalty rule—withdrawals for educational expenses and first-time home purchases, among others.
- There is an annual contribution limit, currently \$7,000.
- You may only contribute earned income to a Roth IRA.
- You must specify your Roth IRA contribution when filing your taxes.
- You must start withdrawing from an IRA at age 73.

## How to open an IRA?

You can open an IRA through a broker. I recommend either Vanguard or Fidelity as they both are well-established, stable companies that provide low-cost S&P 500 index funds. I am more familiar with Vanguard so we will describe them.

To open a Vanguard IRA, follow this link, click "Open a Roth IRA" and click "Sign up". <https://investor.vanguard.com/accounts-plans/iras>. Note you will need to provide a degree of personal information, including your Social Security Number. You will also have to figure out how you will fund your account. You will be asked if you want Vanguard advice services, you will not need this. We are going to buy only the Vanguard S&P 500 ETF, the symbol of which is VOO.

This process can be found in pictures in the Appendix of this document.

## What are we buying? Why are we buying this?

Congratulations! You have opened a Roth IRA! Now, you need to make your investments. You can buy stocks, ETFs, mutual funds, bonds, etc. All growth is tax-free! That being said, I recommend only one product: a low-cost S&P 500 ETF, which on Vanguard has the symbol VOO.

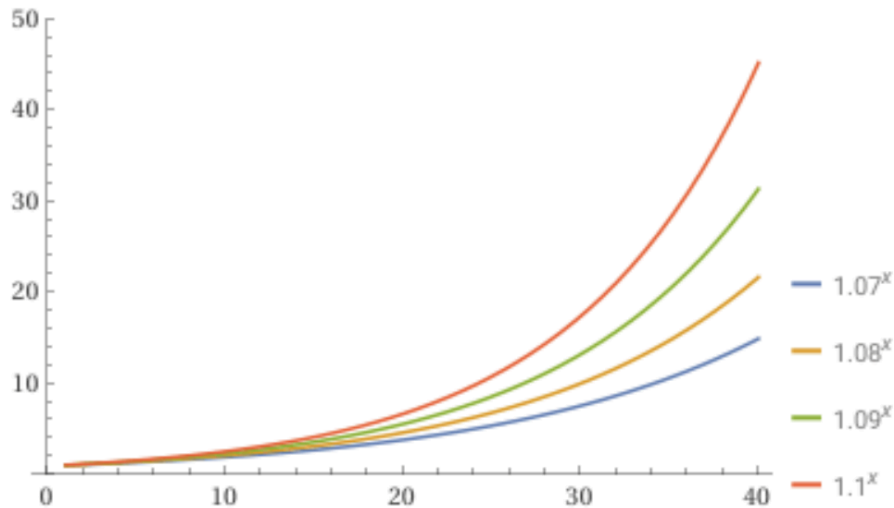
Why only this product? The Standard and Poor's 500, i.e., the S&P 500, is an index of 500 of the largest, most productive American companies. It has a great rate of return, leveraging the business opportunity and innovation of the United States of America and its corporations. It is also a very safe investment! It has been going up since the 1930s. Individual stocks rise and fall, and companies come and go, but the S&P 500 has consistently returned about 8% annually for almost 100 years.

40 years ago, in February 1985, the S&P 500 was at \$180. At the time of this writing, the S&P 500 is around \$6000. This means an investment 40 years ago is now  $6000/180 = 33.3x$  larger! This comes out to an average annual return (AAR) of about 9%. Plus you will gain dividends.

Explanation: If every year your money grows 9%, you take what you had before (called your principal) and multiply it by 1.09. You are not adding, you are multiplying! In our example of 40 years, you multiply your money by 1.09 40 separate times,  $1.09^{40} \sim 32x$ .

This is called **exponential growth**! Vs if you add 9% 40 times, you only get 3.6x.

Exponential growth is how wealth is created. Below are a few exponential curves of different rates of return.



Exponential growth curves over 40 years for rates of returns of 7,8,9, and 10% annually.

## Keep buying

A sustained yearly contribution is also important. Keeping with our 40 years of growth, your first year will get 40 years, your second year 39, your third 38, and so on. Let's say you contribute \$100 each year, with 8% annual growth, this gives an equation of

$$\$100 * \sum_{n=1}^{40} 1.08^n = \$27,978. \quad \text{So you have contributed \$4,000 and ended with \$28k!}$$

If you return 9%, you turn \$4k into \$37k. Remember, it's a long-term investment. Don't sell and don't look at it too often!

## VOO

To learn more about VOO, see

<https://investor.vanguard.com/investment-products/etfs/profile/voo>

VOO currently trades at \$552 per share, but you can buy fractional shares.

VOO has an expense ratio of 0.03%, meaning Vanguard will annually take 0.03% of your investment in VOO as a fee. Note that the Fidelity S&P 500 ETF has an expense ratio of 0.015%, but this is a small difference on a small number. The point is that you do not want to pay any more than 0.1% for a passive index fund. Some funds charge 1% just to underperform the S&P!!

**An important note:** Past performance is not an indicator of future growth. The S&P 500 has increased at an average annual rate of 9% for the past 40 years, but this does not mean such a trend will continue. It may return less or more, the future is always uncertain. But I believe everyone should be invested in the S&P 500! Good luck! Feel free to reach out if you have questions.

Disclaimer: Securities trading carries a high degree of risk and is not suitable for all investors. People can and do lose money in the stock market. Past performance does not indicate future results. I take no responsibility for possible losses or other damage. The information here is for informational and educational purposes only and should not be construed as an offer, recommendation, solicitation, or rating to buy or sell securities.

## Appendix - Opening a Vanguard IRA

Go To: <https://investor.vanguard.com/accounts-plans/iras>

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### Types of IRAs we offer



#### Roth IRA

- You won't be able to deduct your Roth IRA contribution.
- You won't pay taxes on withdrawals of your earnings as long as you take them after you've reached age 59½ and you've met the 5-year-holding-period requirement.
- Income limitations apply.
- If your spouse is earning low or no annual wages, they may be able to open a spousal IRA to save tax-efficiently for retirement.

Open a Roth IRA

[Learn more about Roth IRAs](#)



#### Traditional IRA

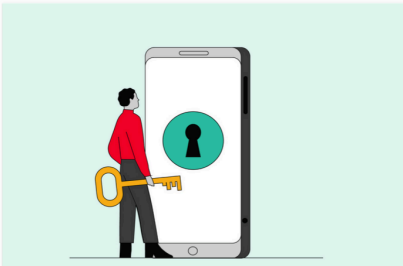
- You may be able to deduct some or all of your traditional IRA contributions.
- You'll pay ordinary income tax on withdrawals of earnings and on any contributions you originally deducted on your taxes.
- No income limitations.
- If your spouse is earning low or no annual wages, they may be able to open a spousal IRA to save tax-efficiently for retirement.

Open a traditional IRA

[Learn more about traditional IRAs](#)  
[Learn more about spousal IRAs](#)

Click Open a Roth IRA

### Log in or sign up



#### I already have a login

Welcome back! After logging in, you can continue what you need to do today.

Log in



#### I'm new to Vanguard

Nice to meet you! You'll first create a profile and login ID, then can continue becoming a Vanguard client.

Sign up

Click Sign up

## How can we get you started?

I would like to...

- ☒ Open a new account with money from my bank
  - ▶ [Preview opening an account | 3:27](#)
- ☐ Roll over an employer plan, such as a 401(k)
- ☐ Transfer investments from another firm to Vanguard
- ☐ Inherit a Vanguard account
- ☐ Take full control of my UGMA/UTMA account

Continue

Quit

Can I open an account now but add money later? ▼

What's the difference between a rollover and an investment account transfer? ▼

Figure out your funding source, likely a transfer of cash from your bank.

## How do you want to manage this account?



### Vanguard advice services

I'd like Vanguard to help manage my investments.

I want advice



### On my own

I'd prefer to select and manage my own investments.

Invest on my own

You can pay for extra services, but it is unnecessary. Click invest on my own.

## Here's an overview of what's next

Plus answers to questions you may have

Select your account

Already a client? [Log in to continue](#)



### Steps to opening a new account

These steps will take about **5-10 minutes**

- 1 Select an [account type](#) to hold your investments
- 2 Provide personal info and create a login (if you don't have one)
- 3 Add a bank if needed, and answer a few more questions

Once you complete the account opening process, you can choose investment products within 3 business days. It may take 7 calendar days to purchase certain products.

Steps vary based on account type.

Then you will come to this page, the rest is up to you.